DDCP Foundation, Inc.
A Wyoming Nonprofit Corporation
ddcprotocol.org · contact@ddcpfoundation.org

COMMENT LETTER

Department of the Treasury
Office of the General Counsel
Notice of Proposed Rulemaking: GENIUS Act Regulations on Payment Stablecoin Issuance, Offer, and Sale

Docket TREAS-DO-2026-0496 · RIN 1505-AC95 · 91 FR 53368 (August 18, 2026)
October 12, 2026
Comment Period Closes: October 19, 2026

I. Introduction and Scope

DDCP Foundation, Inc. (the "Foundation"), a Wyoming nonprofit corporation, respectfully submits this comment on the Department of the Treasury's notice of proposed rulemaking, GENIUS Act Regulations on Payment Stablecoin Issuance, Offer, and Sale, published at 91 FR 53368 (August 18, 2026), Docket TREAS-DO-2026-0496, RIN 1505-AC95.

This comment addresses three matters and takes no position on any other aspect of the proposed rule. Section II responds to Question 6. Section III responds to Questions 77 and 80, informed by Questions 39, 40, 41 and 43. Section IV responds to Question 71.

The Foundation fosters and stewards the development and maintenance of the protocol infrastructure on which the DDCP protocol operates. That infrastructure is publicly available and accessible executable software within the meaning of section 2(9) of the Act (12 U.S.C. 5901(9)). The Foundation is not a permitted payment stablecoin issuer and does not intend to become one. Its interest in this rulemaking is in the treatment of persons who publish such software, and in the coherence of the prohibitions in section 3 of the Act across the proposals of Treasury and the primary Federal payment stablecoin regulators.

The Foundation has filed comments in related proceedings, including the Department's rulemaking on broad-based principles for determining whether a State-level regulatory regime is substantially similar to the Federal regulatory framework (Docket TREAS-DO-2026-0232, RIN 1505-AC90), Docket OCC-2025-0372 (Comment IDs OCC-2025-0372-0257, OCC-2025-0372-0349 and OCC-2025-0372-0354), the joint proposed rule of the Financial Crimes Enforcement Network and the Office of Foreign Assets Control on permitted payment stablecoin issuer anti-

money laundering, countering the financing of terrorism, and sanctions compliance program requirements (Docket FINCEN-2026-0100, Comment ID FINCEN-2026-0100-0076), and the joint customer identification program rulemaking (Docket FINCEN-2026-0101).

II. Payment Stablecoin Issuers Are Digital Asset Service Providers

Question 6. Treasury determines that all persons that, for compensation or profit, engage in the business in the United States of issuing payment stablecoins constitute digital asset service providers as defined in the Act, reasoning that the categories are not mutually exclusive and that redeeming a payment stablecoin necessarily involves exchanging digital assets for monetary value (91 FR 53371).

The Foundation agrees. Treasury's reading is the better reading of the text. Section 2(7) of the Act (12 U.S.C. 5901(7)) does not make the two categories mutually exclusive, and the Act elsewhere specifies mutual exclusivity where it intends it. Redemption is an enumerated permitted activity of a permitted payment stablecoin issuer under section 4(a)(7)(A)(ii) of the Act (12 U.S.C. 5903(a)(7)(A)(ii)), and it is an exchange of a digital asset for monetary value.

The Foundation does not maintain its earlier position. The Foundation's comments on Dockets OCC-2025-0372 and FINCEN-2026-0100 took the contrary position. That analysis considered only whether the issuer addressed in those comments would engage in the business of exchanging digital assets for other digital assets. It did not consider the exchange of digital assets for monetary value, which is the activity Treasury identifies and which redemption plainly involves. The Foundation states here, in its own voice and on the record of this proceeding, that the earlier analysis addressed the wrong activity and that its conclusion does not survive. The Foundation does not ask Treasury to give weight to the position it previously advanced.

A citation correction, respectfully noted. Treasury's preamble attributes the exchange of digital assets for monetary value to section 2(7)(A)(ii) of the Act (91 FR 53371). In the enrolled text, that activity appears at section 2(7)(A)(i) (12 U.S.C. 5901(7)(A)(i)); section 2(7)(A)(ii) (12 U.S.C. 5901(7)(A)(ii)) is the exchange of digital assets for other digital assets. We respectfully request that Treasury correct the citation in any final rule so that the codified basis for the determination is accurate. The correction does not affect the determination, which rests on the activity rather than on its subparagraph.

III. Persons Who Publish Publicly Available and Accessible Executable Software

Questions 77 and 80; informed by Questions 39, 40, 41 and 43. We respectfully request that Treasury adopt an interpretation in proposed Appendix A addressing a person whose only connection to an issuance is that the person publishes and maintains publicly available and accessible executable software that an issuer has chosen to use.

A. The proposed examples should remain non-exhaustive

The Foundation does not request that the situations covered by proposed § 1523.2(d) be made an exhaustive set. Treasury's reasons for preserving flexibility against structured evasion are sound, and an exhaustive list would invite exactly the structuring it is meant to prevent. The examples at proposed § 1523.2(d)(1) through (3) are appropriate and, in the Foundation's view, clear as to the conduct they describe.

It is because the list is non-exhaustive that a targeted interpretation is useful. The question below cannot be resolved by reading proposed § 1523.2(d) alone, and the penalty at section 3(f)(1) of the Act (12 U.S.C. 5902(f)(1)) is criminal, carrying a fine of up to $1,000,000 for each violation, imprisonment for up to five years, or both. Where misjudging the boundary carries criminal exposure, an interpretation in Appendix A serves a fair-notice function that an enumeration of examples cannot.

B. What Treasury has already said, including what is adverse

Treasury states that other persons who participate in an issuance, for example by performing technical functions to effectuate minting, are not for that reason the issuer, and adds that such persons may still be subject to criminal penalties if they knowingly participate in an unlawful issuance (91 FR 53374). The Foundation records the second half of that statement as well as the first. It does not read the passage as resolving the question presented here, and it does not ask Treasury to disturb it. A person who contracts with an issuer to perform the technical work of minting has an arrangement with that issuer. That is a different fact pattern from the one addressed below.

C. The distinction is already present in Treasury's proposed text

Proposed § 1523.2(d)(2) is keyed to a person who coordinates with the issuer to facilitate key steps in the issuance. The operative word is coordination, and coordination is a relationship with a particular issuer. A person who publishes software that any person may obtain and deploy, and who has no arrangement, understanding or communication with a given issuer concerning that issuer's issuance, does not coordinate with that issuer within the ordinary meaning of the term Treasury has selected. The interpretation requested below confirms the boundary of a word already in the proposed rule; it does not enlarge or narrow the example.

We respectfully submit that the Act supplies corroborating evidence. Section 2(7)(B) of the Act (12 U.S.C. 5901(7)(B)) excludes from the definition of digital asset service provider a distributed ledger protocol, an immutable and self-custodial software interface, and a person solely by virtue of developing such protocols or interfaces. Section 2(9) defines a distributed ledger protocol as publicly available and accessible executable software deployed to a distributed ledger.

The Foundation states the limit of that argument plainly. Section 2(7)(B) governs the definition of digital asset service provider. It does not by its terms govern section 3(f) of the Act, which reaches any person who knowingly participates in a violation of section 3(a) without regard to whether that person is a digital asset service provider. The Foundation does not contend otherwise. It submits the exclusions as evidence of the congressional judgment that the

publication and development of this category of software is not itself the conduct the Act regulates, and as a reason to read proposed § 1523.2(d)(2) consistently with that judgment rather than more broadly.

D. Exempt transactions under proposed § 1523.4(c)(3) (Question 77)

The categories at proposed § 1523.4(c), which implement section 3(h)(1) of the Act (12 U.S.C. 5902(h)(1)), are clear as drafted, and the Foundation does not request any change to them. The exemption at proposed § 1523.4(c)(3) is written as an exemption for a transaction, defined by the function the wallet performs. It is not conditioned on the identity of the person who published the wallet software, on whether that person has any relationship with the issuer of the digital asset transacted, or on which payment stablecoin is involved.

That clarity bears on proposed § 1523.2. Section 3(a) of the Act (12 U.S.C. 5902(a)) reaches any person, and proposed § 1523.2(d) accordingly addresses any person who knowingly participates in a violation of it. Where a transaction falls within proposed § 1523.4(c)(3), there is no violation of section 3(a) in that transaction for any person to participate in. Because the exemption operates at the level of the transaction and turns on the function the wallet performs, that question is resolved without reference to who published the wallet software. The Foundation reads the provision that way, and notes the reading here so that the record reflects it.

E. The interpretation requested

We respectfully request that Treasury confirm, by interpretation in proposed Appendix A, that a person who publishes and maintains publicly available and accessible executable software that an issuer uses to issue a payment stablecoin, and who does not coordinate with that issuer concerning the issuance, (i) does not issue a payment stablecoin for purposes of proposed § 1523.2 and is not an issuer as that term is proposed to be defined, and (ii) does not, by reason of that publication and maintenance alone, participate in a violation of section 3(a) of the Act for purposes of proposed § 1523.2(d).

The Foundation does not request that the interpretation extend to a person who solicits customers for an issuer, who holds or has held an arrangement with the issuer concerning the issuance, who incurs an obligation described at proposed § 1523.2(d)(1), or who engages in the distribution or market making described at proposed § 1523.2(d)(3). An interpretation confined to unaffiliated publication would leave each of those examples undisturbed.

IV. The Effect on Section 3 of a Waiver Granted Under Section 5(f)

Question 71. Treasury asks whether proposed § 1523.4(a) should provide additional guidance regarding the effect on section 3 of the Act of a waiver granted under section 5(f). We respectfully submit that it should, and that the two proposals now pending, read together, would leave the safe harbor for pending applications without practical effect for at least one class of applicant.

A. The gap between the two proposals

Proposed § 1523.4(a) conditions relief for a qualifying pending applicant on a waiver granted under section 5(f), and then only to the extent that waiver by its terms waives the provisions of section 3 of the Act (91 FR 53386).

The Office of the Comptroller of the Currency has proposed to implement section 5(f) in terms that do not reach section 3. Proposed 12 CFR 15.30(f)(2) provides that a qualifying entity with a pending substantially complete application may request, in writing, that the agency waive the requirements of section 4 of the GENIUS Act (12 U.S.C. 5903) with respect to that entity. See 91 FR 10297 (March 2, 2026); the corresponding preamble discussion appears at 91 FR 10234 and 91 FR 10270. The request contemplated by that provision is a request to waive section 4. Section 3 is not mentioned in proposed § 15.30(f).

The consequence follows directly from the text of both proposals. An applicant that requests and obtains a waiver under proposed 12 CFR 15.30(f) would hold a waiver that, by its terms, waives section 4 and not section 3. Under proposed § 1523.4(a), that waiver would not relieve the applicant of the prohibition in proposed § 1523.2. The applicant would hold the safe harbor and would still be prohibited from issuing a payment stablecoin in the United States, which is the activity the safe harbor exists to permit during the pendency of an application.

We note that this appears to be an artifact of independent drafting rather than a considered divergence. The Comptroller's preamble recites the statutory authority in full, stating that section 5(f) permits the primary Federal stablecoin regulators to waive the requirements of the GENIUS Act, and then implements the request as one directed to section 4 (91 FR 10234). Treasury has already concluded that "the requirements of this Act" in section 5(f) encompasses all requirements of the Act, including those of section 3 (91 FR 53386). The agencies do not appear to disagree on the scope of the authority. The divergence is in how the waiver instrument is framed.

The Board of Governors of the Federal Reserve System has since proposed its own application procedures. Its preamble describes section 5(f) as permitting the Board to waive "the application of the requirements of the GENIUS Act," proposes no regulatory text for the waiver, and asks what provisions an applicant would be likely to request to be waived. See 91 FR 61346, 61352-53 (September 29, 2026) (Question 16). Two primary Federal payment stablecoin regulators thus describe the same instrument in different terms, one by reference to section 4 and the other by reference to the Act. A rule of general application in proposed § 1523.4(a) would settle the effect on section 3 for every waiver, whichever regulator grants it and however the instrument is framed.

B. The request

We respectfully request that Treasury provide in proposed § 1523.4(a) that a waiver granted by a primary Federal payment stablecoin regulator under section 5(f) of the Act relieves the recipient of the prohibitions in proposed §§ 1523.2 and 1523.3 for the period of the waiver unless the waiver by its terms excludes section 3 of the Act. That formulation preserves each regulator's authority to limit a waiver expressly, preserves Treasury's statement that waivers are temporary in duration and limited in scope, and does not require any change to another agency's rule. It

reverses only the default, so that relief from section 3 does not depend on whether a waiver instrument drafted for a different purpose happens to name section 3.

In the alternative, we request that Treasury coordinate with the primary Federal payment stablecoin regulators so that each waiver granted under section 5(f) states its scope as to section 3 on the face of the waiver. That course would also resolve the matter, though it places the burden on the drafting of each individual waiver rather than on a rule of general application.

This comment takes no position on which requirements of section 4 of the Act should or should not be waived under section 5(f), on the standards a regulator should apply in granting a waiver, or on any other aspect of the Comptroller's or the Board's proposals. It is confined to the effect of a waiver on section 3.

V. Conclusion

The Foundation appreciates Treasury's consideration of these comments and would welcome the opportunity to provide any further information that would assist the Department.

Respectfully submitted,

DDCP Foundation, Inc.

Rodolfo J. Novarini

Founder

DDCP Foundation, Inc.

rodonovarini@ddcpfoundation.org

ddcpfoundation.org

October 12, 2026